Miles Education

CAIRA
Certified AI-Ready Accountant

Copilot Studio:
Build Your First Agent

AJ Ansari

Microsoft MVP

Copilot Studio &
D365 Business Central







Microsoft® Most Valuable Professional

AJ Ansari

COO & Partner

DSWi

dswius.com

AI Clarity Method

Visit **ClarityMethod.ai**

Only Copilot Fans

Visit **OnlyCopilotFans.com** & **YouTube**



Meet **Microsoft Copilot Studio**

Miles Education

CAiRA

OnlyCopilotFans

Copilot Studio



A tool / platform for building AI Agents

AI Engine grounded on your knowledge sources & business data

Orchestration, Automation, Integration

Deployed on your channel of choice

M365 Copilot Chat, Teams, Web, App, WhatsApp, Facebook, Slack, and more…

More Than Agents

Stronger with **Workflows** and **Apps**

Agents: Some food for thought

Not trying to build a full ChatGPT, Claude or Gemini

Agents are more than Chatbots

Agents should have a specific scope

Helps tackle a process

For Internal or External audience

Declarative Agents

Created from M365 Copilot using **Agent Builder**

For Personal Use

Shareable with people in Organization

Not centrally managed

“Knowledge” Agent only

Deploy in M365 Copilot Chat

Custom Agents

Created from **Copilot Studio**

For Organizational Use

Knowledge, Tools, Triggers, Topics, Multi-Agent

Ability to choose between models (OpenAI’s GPT, Anthropic’s Claude, and xAI Grok* models)

Enhanced Instructions

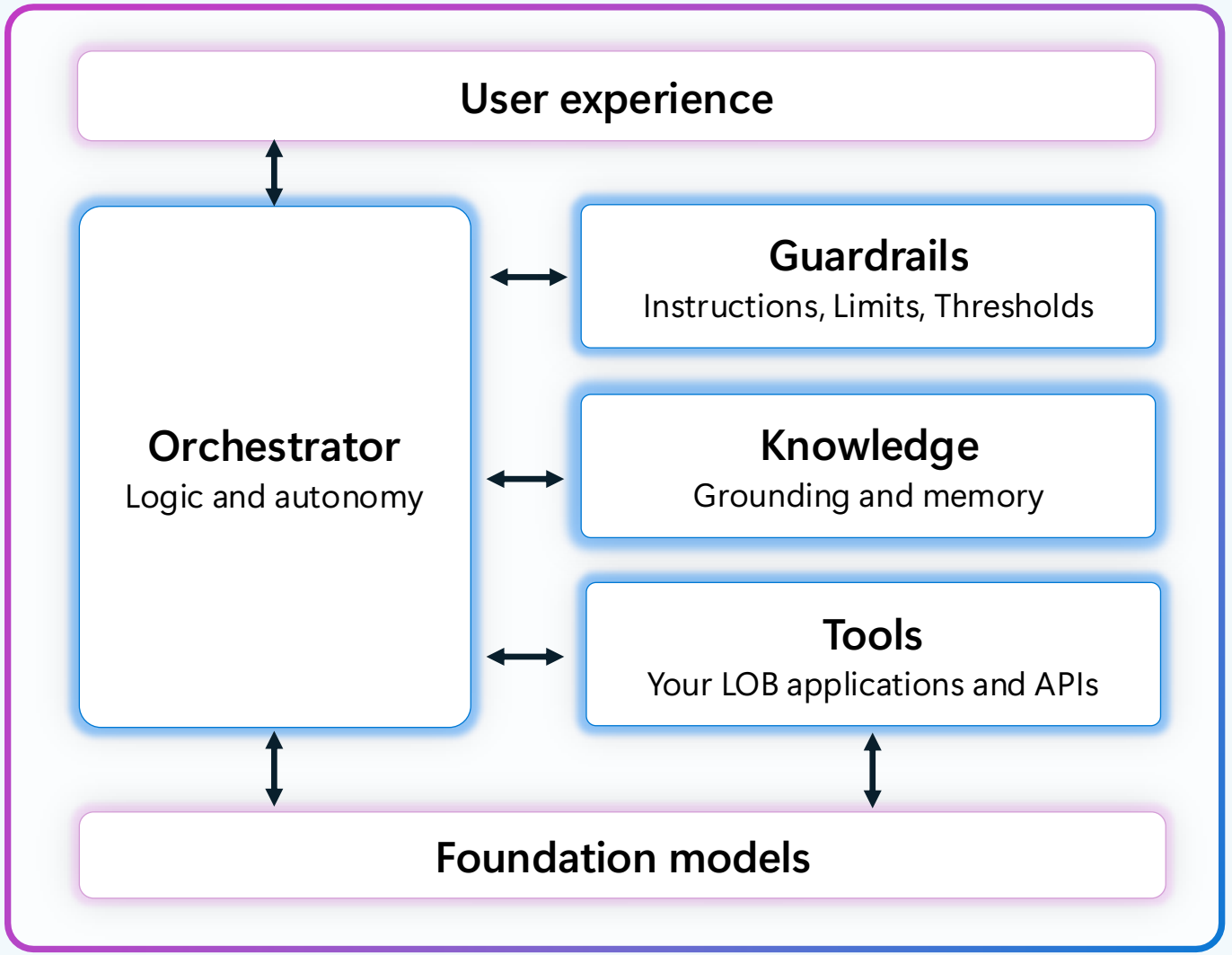
Authentication & Deployment Options





First 4 Poll Questions

Anatomy of an agent



Agents, Instructions & Skills



Instructions

Tell an agent how to behave all the time

Agents

A specialist role with a persona and its own instructions, toolset and more

Skills

How to handle a particular type of task

Our goal today…

Building Custom Agents with Copilot Studio

For use by your Employees*, Customer, Vendors

Securely connected to your business data

Thoroughly Tested

Deployed in Teams*, M365 Copilot Chat, Web, App, etc.

> > >

> > >

The Knowledge Engine & Data Best Practices

Supported Data Sources

PDFs (policies, audit reports)

Excel (financial data)

SharePoint (internal documentation)

Websites (regulations)

The Filter (Best Practices)

Clean data before upload

Use structured formats

Keep documents updated

Avoid duplicate or conflicting data

Verified AI Knowledge

Generative answers that read documents and create dynamic, accurate responses instead of relying on fixed text.

AI Reliability & the Hallucination Risk

The Threat: Hallucination

AI generating incorrect or unsupported answers. In finance, this is unacceptable and introduces severe risk.

The Defense: Grounded AI

Forces the system to rely strictly on verified, uploaded data.

Risk mitigation tactics

1. Use exclusively trusted data sources.

2. Limit open-ended user questions.

3. Enforce strict structured Topics for critical financial workflows rather than generative answers.

Your Data Stays Yours: Privacy & Confidentiality

No Training on Your Data

Prompts, responses, and knowledge sources are never used to train Microsoft's foundation models.

Inside Your Tenant Boundary

Agent data stays within the Microsoft 365 service boundary and honors your tenant's data residency commitments.

Confidentiality in practice

1. Agents respect existing permissions: users only see what they can already access.

2. Client data is encrypted in transit (TLS) and at rest.

3. Ground each agent on least-privilege sources: share only what it needs.

Governance Guardrails: Power Platform DLP & Purview

Power Platform DLP Policies

Classify connectors as Business, Non-Business, or Blocked so client data cannot flow to unapproved services.

Microsoft Purview

Sensitivity labels, data classification, and a full audit trail of agent interactions for compliance and eDiscovery.

Governance in practice

1. Separate Dev, Test, and Production environments, each with its own DLP policy.

2. Block risky connectors by default; approve by exception.

3. Review agent conversations in Purview audit and DSPM for AI.

Cyber-security: Defense in Depth for Agents

Identity & Access

Microsoft Entra ID authentication and conditional access control who can build, manage, and use each agent.

Threat Protection

Built-in content moderation and prompt-injection (jailbreak) defenses filter malicious inputs and unsafe outputs.

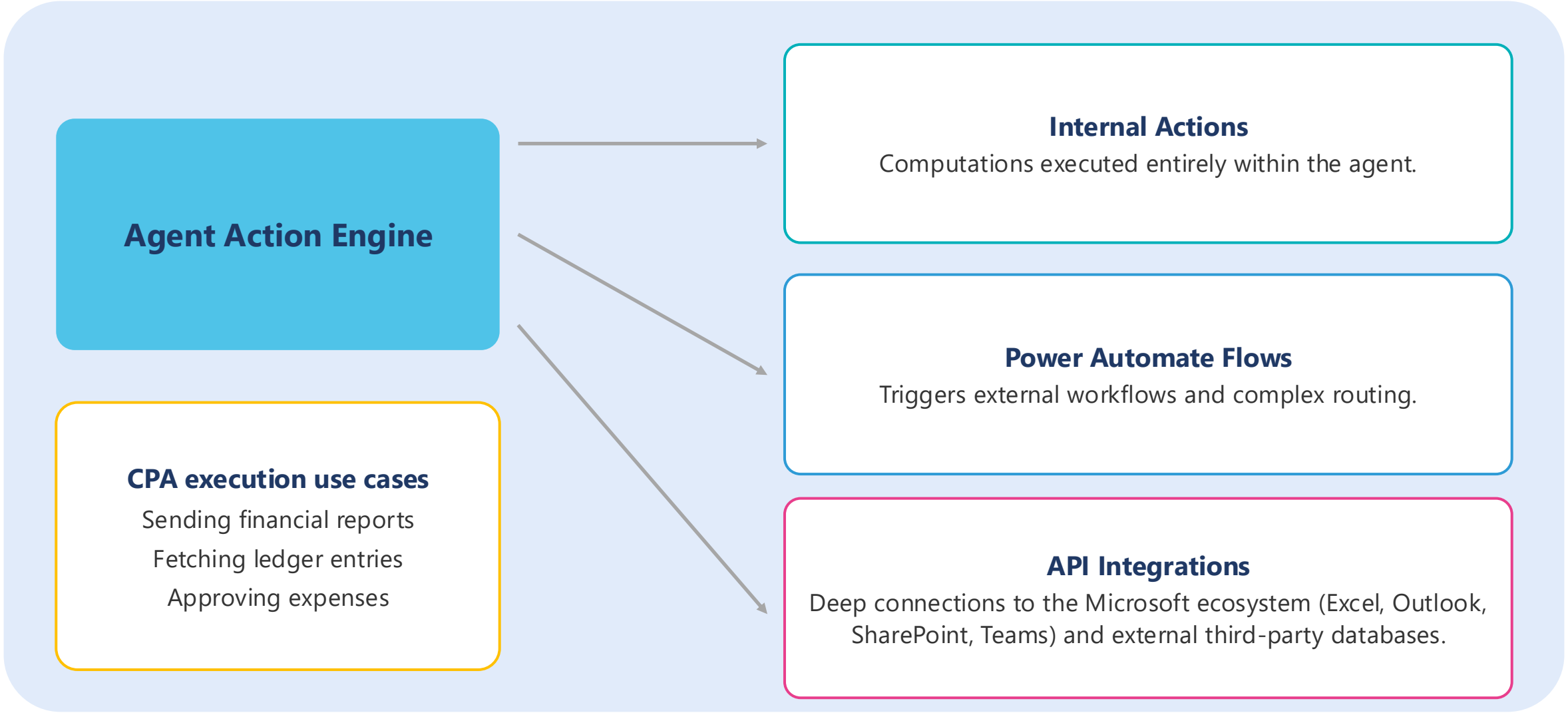
Security in practice

1. Require end-user authentication before an agent reveals grounded content.

2. Publish only to approved, TLS-secured channels such as Teams.

3. Monitor activity with audit logs; the platform carries SOC 2, ISO 27001, and GDPR commitments.

Making Agents “Do Work”



Application Matrix for CPAs

Audit

Automated checklist generation, rapid document validation, and programmatic risk identification.

Tax

Rule-based tax guidance and automated filing assistance flows.

Accounting

Automated expense categorization and hands-free financial report automation.

Client Communication

24/7 query handling and proactive status updates for client accounts.



Let’s Build our First Agent

Declarative Agent
w/ M365 Copilot

2

Miles Education CAiRA

OnlyCopilotFans

The Automated CPA

Building Intelligent, Grounded Workflows
with **Copilot Studio**

3

Miles Education CAIRA

OnlyCopilotFans

The Evolutionary Journey of an AI Employee

1
Foundation & Knowledge
Modules 1 & 2

Establishing scope, tone, and grounding the AI's brain exclusively in uploaded firm policies and tax documents.

2
Conversation & Logic
Modules 3 & 4

Designing structured client intake flows, capturing global variables, and routing requests via strict IF/ELSE decision trees.

3
Real-World Action
Modules 5 & 6

Connecting to Power Automate and Excel to extract PDF data, generate reports, and insert rows directly into ledgers.

Moving from Unpredictable Chatbots to Governed Automation

	Generic LLM Chatbot	Grounded Copilot Studio Agent
Knowledge Source	Open internet data; high risk of hallucination.	Generative Answers strictly scoped to uploaded PDFs, FAQs, and firm documents.
Logic Control	Black-box reasoning; unpredictable conversational routing.	Strict Condition Nodes (IF/ELSE) dictating exact conversational paths with engineered fallback behaviors.
Data Handling	Conversational memory only; data is unstructured.	Captures explicit numerical and date inputs into isolated Global Variables.
Actionability	Read-only output; requires human copy-pasting.	Direct integration with Power Automate workflows and SharePoint/OneDrive Excel tables.

Establishing the Knowledge Foundation

Knowledge Sources

Tax codes

Firm policies

FAQ PDFs

System Instructions / Prompt

Defining strict scope, professional tone, and fallback parameters.

Generative Answers Setting

The engine reads uploaded documents and dynamically generates context-aware answers.

Validation Node

Contextual, professional answers strictly grounded in official firm knowledge, clearly distinguishing the AI from generic chatbot behavior.

Structuring the Client Intake Conversation

User Interface

"I need help with my 1040."

"Hello! Which service do you need?"

"Please enter your full name."

"Tax Prep"

"John Doe"

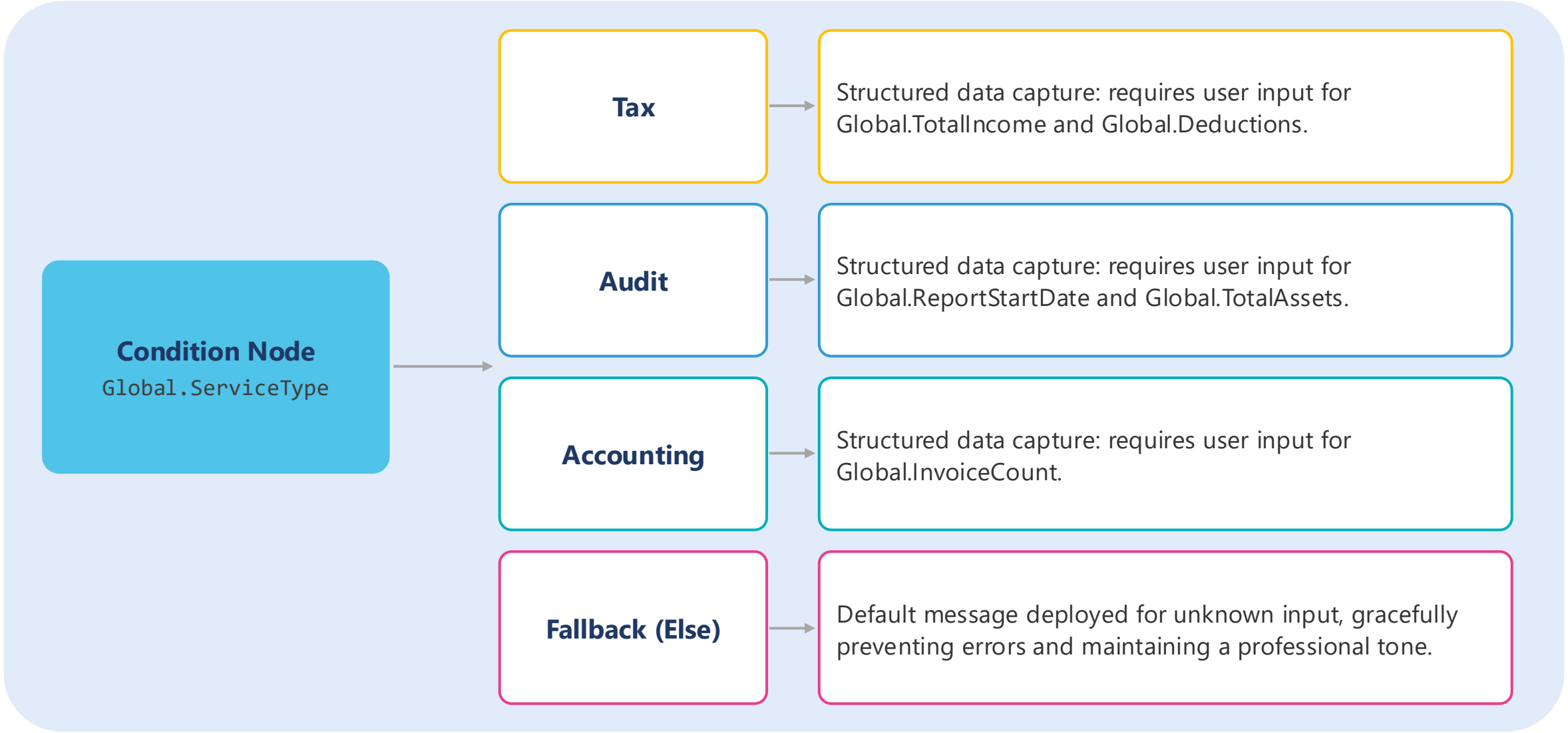
Backend Copilot Studio

1. Matches trigger phrases to identify intent and initiate the Client Intake Topic.

2. Initiates step-by-step interactions, deploying greeting messages and targeted questions.

3. Captures inputs and stores them securely as Variables for global use across the session.

Routing Workflows with a Conditional Logic Decision Tree



Bridging Chat and Real-World Action via Power Automate

Topics & Triggers

Initiate the Send PDF Report topic and deploy the questionnaire flow.

Input Mapping

Text: capture EmailID and Message.

File upload: capture the PDF as FileContent and FileName.

Variables: capture ClientName and Reporting Period.

Execution

Copilot calls the Power Automate flow, passing all structured inputs to automatically construct and send the final email report, followed by a user confirmation message.

Automating Financial Data Entry into Excel Ledgers

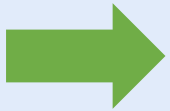
Structured Data Collection (Copilot Studio)

System: Please provide the client name. → `Global.ClientName`

System: What is the invoice amount? → `Global.InvoiceAmount`

System: Provide the payment date and invoice number.

Triggering the Add Invoice to Excel topic to securely gather CPA-relevant financial details.



Excel Connector

Execution (SharePoint / OneDrive)

Ledger columns: Client Name, Invoice Amount, Payment Date, Invoice Number — filled from the captured Global variables.

Power Automate uses the **Add row into table** action to insert collected variables into the official ledger, eliminating manual entry errors.

The Anatomy of a Perfect Automated Transaction

Modules 1/3

User states intent (“I have a new invoice”); the agent triggers the intake topic.

Module 2

Agent cross-references uploaded firm policy PDFs to verify processing rules via Generative Answers.

Module 4

Logic branches the workflow to the “Invoice Intake” condition node.

Module 5

Agent accepts the user's PDF upload (FileContent), capturing structured data variables.

Module 6

Power Automate silently logs verified data into the master Excel table and sends a confirmation.

The Blueprint for CPA Digital Transformation

Grounded in Truth

Generative answers are strictly scoped to your firm's uploaded PDFs and policies.

Zero tolerance for hallucination.

Structured by Logic

Conversations are not left to chance. IF/ELSE condition nodes route client requests and capture validated global variables.

Integrated for Action

Moving beyond conversational output into automated execution via Power Automate and direct Excel table integrations.

Copilot Studio does not just simulate conversation — it executes rigorous, structured accounting workflows.



Building an agent with **Copilot Studio**

4

Miles Education CAIRA

OnlyCopilotFans

Zero to One:

Building the CPA Query Assistant

System initiation // AI foundation for CPAs

Miles Education

CAiRA

OnlyCopilotFans

Transforming Repetitive Client Queries into an Autonomous Operational Asset

System Prompt
(The Rules)

Knowledge Source
(The Fuel)

Testing & Validation
(The Calibration)

Client Query Assistant

Function
Answers common tax questions securely.

Value
Supports CPA professionals by handling basic finance queries.

Output
First working AI agent deployed.

Provisioning the Agent Environment inside Microsoft Copilot Studio

Create New Copilot

Agent name

CPA Query Assistant

Description

Answers basic finance and tax-related questions for CPA professionals.

Conversational setup (optional)

This agent helps CPA professionals by answering basic tax and finance-related queries. It should respond clearly, professionally, and stay within finance topics.

Deconstructing the System Prompt into Strict Behavioral Constraints

[ROLE]	You are a helpful assistant for CPA professionals.
[SCOPE]	Answer only basic finance and tax-related questions.
[KNOWLEDGE USAGE]	Provide general and accurate explanations. Do not guess unknown answers.
[OUT OF SCOPE]	Do not answer unrelated questions.
[TONE]	Simple, clear, and professional.
[FALLBACK]	If unsure, say you do not know.

Grounding the Baseline AI with Specialized Financial Knowledge Sources



Action
Navigate to the Knowledge section and click “Add knowledge source”.

Permitted uploads
Basic tax PDF and simple finance notes.

System status
Wait for indexing to complete.

Constraining Outputs Eliminates Hallucinations and Ensures Professional Accuracy



Why knowledge matters: it improves answer quality, helps the AI respond with context, and drastically reduces incorrect answers.

Validating Baseline Responses in the Isolated Test Environment

Test environment

"What is tax filing?"

"What documents are required for audit?"

"What is income tax?"

Output analysis

1. Clear answers.
2. Professional tone.
3. No guessing if unsure (triggering the Fallback rule).

The Architectural Difference between a Legacy Chatbot and an AI Agent

	Legacy Chatbot	AI Agent
Input Handling	Rigid triggers; struggles with variation.	Handles variations seamlessly (e.g., "What is tax filing?" vs. "Explain tax filing for small business").
Knowledge Retrieval	Relies on pre-scripted answers.	Grounds answers dynamically in uploaded PDFs.
Adaptability	Confused by conversational nuances.	Adapts responses and provides deep context.
Failure Mode	Guesses or loops when unsure.	Explicitly admits when it lacks information.

The CPA Agent Engine Operates as a Secure, Closed-Loop System

The Ignition: User Query
"Explain tax filing..."

The Rules: System Prompt
Role, scope, tone

Strict behavioral constraints + specialized local knowledge = a predictable operational tool.

The Fuel: Knowledge Base
Uploaded PDFs

The Output: Contextual Answer

Deployment Complete: the Client Query Assistant Is Online

CPA Query Assistant

Status: Active **Saved**

Final action

Click “Save” to keep the agent ready.

Outcome

The first working AI agent is successfully created.

Impact

A foundational CPA use case implemented from scratch, moving the firm from manual query response to autonomous, ground-truth-based support.



AJ Ansari

Thank You!
Questions?

Need Help Later?
Contact me on LinkedIn or e-mail!

LinkedIn
bit.ly/AJAnsari

YouTube
bit.ly/OnlyCopilotFansYT

Email
AJ@OnlyCopilotFans.com